

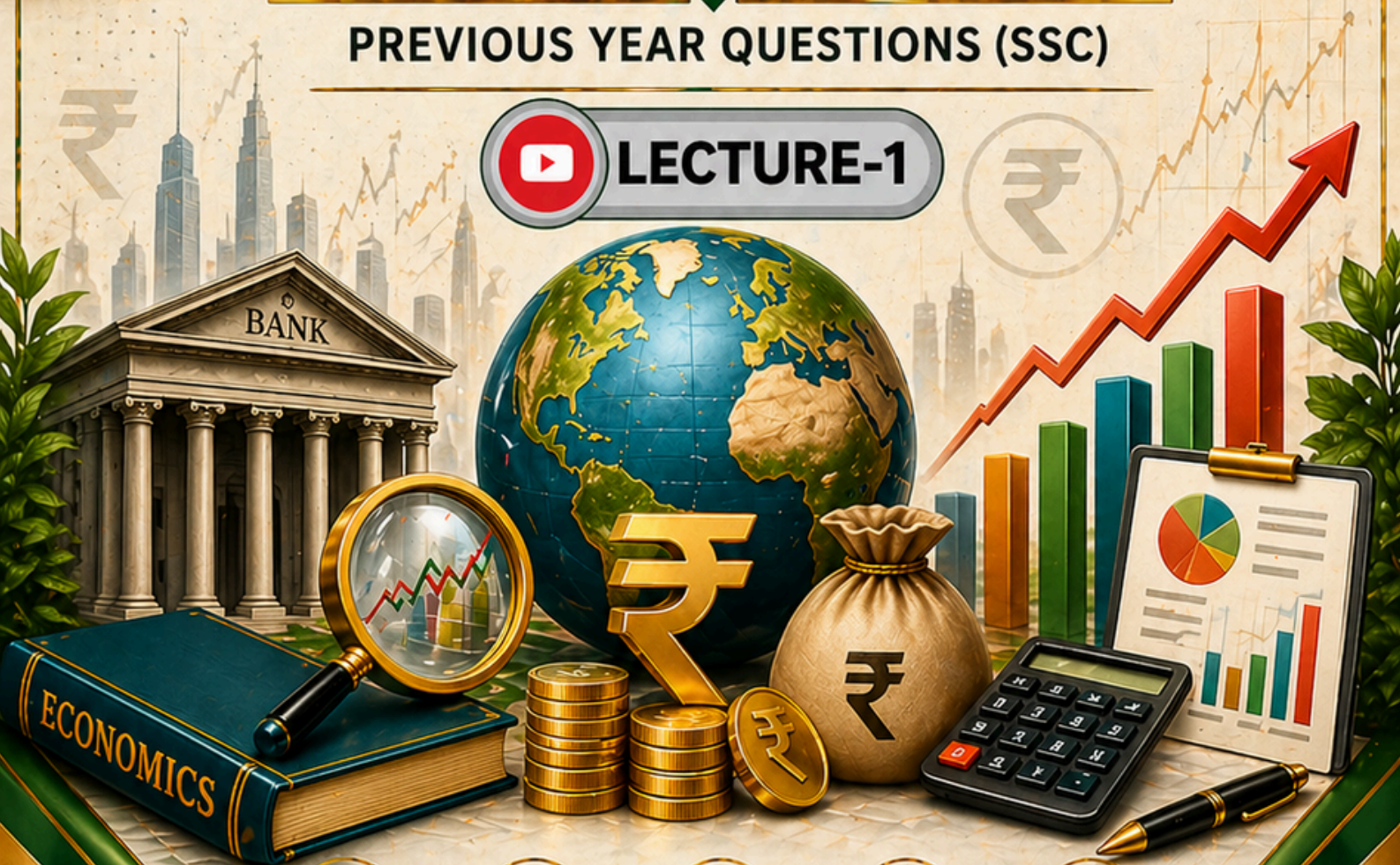


== **GK PYQ SERIES** ==

◆ [PART-6] ◆

ECONOMICS

PREVIOUS YEAR QUESTIONS (SSC)



PYQ BASED
ANALYSIS



CONCEPTUAL
CLARITY



SMART
REVISION



EXAM
FOCUSED



TREND
ANALYSIS

★ **CONCEPT + PYQ BASED LEARNING** ★

1 Who gave the scarcity definition of economics?

- a) Adam Smith b) P.A. Samuelson
c) Alfred Marshall d) Lionel Robbins ✓

EXPLANATION

- **Economics** is the **science** that studies the fulfillment of unlimited wants or demands through the use of limited resources.

Adam Smith

- **Title:** Father of modern and microeconomics.
- **Famous Book:** 'The Wealth of Nations' (1776).
- **Key Theories:**
 - **Market Economy:** Individuals working for their own self-interest ultimately benefit the entire economy.
 - **Invisible Hand:** The natural forces of the market are self-balanced without any external pressure.
 - **Laissez-faire (Non-interference):** The government should not interfere in the economy so that the market can function naturally.

Scarcity Definition (1932)

- According to **Lionel Robbins**: "Economics is the science that studies human behavior as a relationship between ends (goals) and scarce means which have alternative uses."
- He emphasized 'choice in the condition of scarcity'. In his own words, "Economics... is concerned with that aspect of behavior which arises from the scarcity of means to achieve given ends."

John Maynard Keynes

- **Title:** Father of Macroeconomics.
- **Famous Book:** 'The General Theory of Employment, Interest and Money' (1936).
- **Main Context:** His theories were developed to tackle the 'Great Depression' of 1929.
- **Key Theories:**
 - **Government Intervention:** Completely opposite to Adam Smith's 'laissez-faire' theory, Keynes believed that during an economic depression, the market cannot be left on its own. Active government intervention is very necessary to recover the economy and increase employment.

2 Economic liberalisation mainly affects which sector?

- a) Primary and Tertiary
b) Primary and Secondary
c) Secondary and Tertiary
d) Primary, Secondary, and Tertiary Exam ✓

EXPLANATION

- **Primary sector:** Agriculture, mining, etc. (dependent on the environment). It is called a 'red-collar job'. Agriculture is the backbone of the Indian economy.
- **Secondary sector (Manufacturing):** Converts raw materials into products. It is called a 'blue-collar job' (manual labor). It is the backbone of a country's industrialization (such as China), but has not fully developed in India.

- **Tertiary sector (Service sector):** It is intangible (e.g., teaching, healthcare). It is called a 'white-collar job'.
- **Quaternary sector:** Knowledge-based and intellectual services (e.g., Scientists, CAs).
- **Quinary sector:** Top decision-making services and innovation. These are called 'gold-collar jobs' (e.g., Politicians, top media).

3 **Assertion (A):** In macroeconomics, treating a single commodity as representative of all goods allows simplification of aggregate analysis

Reason (R): This is because all individual goods always behave identically under inflationary trends

- a) Both A and R are true, and R is the correct explanation of A.
- b) Both A and R are true, but R is not the correct explanation of A.
- c) A is true, but R is false. ✓
- d) A is false, but R is true.

EXPLANATION

Feature	Macroeconomics	Microeconomics
Approach	Top-Down Approach.	Bottom-Up Approach
Focus	Focuses on the overall performance and behavior of the entire economy	Focuses on the actions of individuals, specific firms, or businesses
Scope	Large-scale; covers the entire economy	Small-scale; covers specific sectors or markets
Subjects	GDP, Inflation, Fiscal Policy, National Income, Unemployment, Spillover Effects	Pricing of specific products, Consumer Behavior, Supply & Demand for a firm
Analogy	Studying the entire forest (e.g., Tropical Evergreen Forest characteristics)	Studying a specific tree within the forest (e.g., the Cinchona tree and its uses)

- **Macroeconomics:** It is a 'top-down' approach, which studies the entire economy (e.g., GDP, inflation). Comparison: It is similar to studying the entire forest.
- **Microeconomics:** It is a 'bottom-up' approach, which studies specific firms or consumers. Comparison: It is similar to studying a specific tree (e.g., Cinchona) in the forest.

4 **Which of the following is a key economic role of the government in both developed and developing countries?**

- a) Only regulating private firms
- b) Only promoting exports
- c) Framing laws and delivering justice ✓
- d) Engaging in currency exchange

EXPLANATION

- The primary role of the government is to make laws and provide justice.

"Comprehensive/complete (affirmative)", "extreme x negation x" (Reject extreme options), "specific x" (Choose the specific one)

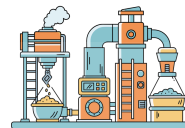
5

What was the central theme of the Industrial Policy Resolution of 1956?

- a) Full privatisation of industry
- b) Import-led growth strategy
- c) State control of commanding heights of the economy ✓
- d) Promoting consumer goods industry

EXPLANATION

India's Industrial Policies



- **1948 Policy:** This was India's first economic policy. It adopted a mixed economy ("socialization of the vacuum") and industries were divided into fourfold classification.
- **1956 Policy:** This was based on the **P.C. Mahalanobis model**. It was called the '**Economic Constitution of India**'. The 'License-Quota-Permit Raj' started from here. Industries were divided into 3 categories (Schedule A (17 industries), Schedule B (12 industries), Schedule C (all other industries)).
- **1969 Policy:** Based on the Dutt Committee's recommendations, the MRTP Act was introduced (later replaced by the Competition Act in 2002).
- **1973 Policy:** FERA 1973 was implemented, and **six core industries** (iron, cement, coal, crude oil, oil refining, and electricity) were established.
- **1977 Policy:** Its main emphasis was on the development of small, cottage and khadi village industries.
- **New Industrial Policy of 1991 (LPG):** Its main goals were liberalization, privatization, and globalization.
 - **Major changes:** The MRTP Act was relaxed and the '**License Raj**' (red tape) was abolished.
 - **Dereservation:** Only 2 industries (atomic energy and railway operations) were left under the control of the central government.

6

Which sectors were largely excluded from industrial licensing after 1991?

- a) Defense and Telecom
- b) Alcohol, Cigarettes, Explosives ✓
- c) Textiles and Fertilizers
- d) Agriculture and Education

- **After 1991**, "heavy and capital goods", "infrastructure", and "technology" were excluded from licensing.

EXPLANATION

7

Assertion (A): The 1991 reforms led to the opening of the Indian economy to foreign investors

Reason (R): The government wanted to increase domestic savings rate rapidly

- a) Both A and R are true and R is the correct explanation of A.
- b) Both A and R are true but R is not the correct explanation of A.
- c) A is true but R is false. ✓
- d) A is false but R is true.

EXPLANATION



1991 Balance of Payments (BoP) Crisis:

- India's most severe economic crisis.
- Foreign exchange reserves left for only 13 days of imports.
- **Result:** India was forced to adopt economic liberalization.

3

8

What was India's urban population percentage in Census 2011?

a) 24%

b) 31%



c) 36%

d) 41%

EXPLANATION

Census 2011

Rural percentage: 68.84%

Basic Details:

- **Act:** Census Act, 1948
- **Sequence:** 15th Census of India (7th after independence)
- **Census Commissioner:** C. Chandramouli
- **Motto:** Our Census, Our Future

Census 2011, Population Data:

- **Total Population:** 121.08 Crores
- **Male Population:** 62.37 Crores (51.54%)
- **Female Population:** 58.71 Crores (48.46%)
- **Decadal Growth Rate (2001-11):** 17.64%
- **Annual Growth Rate:** 1.46%

Highest urbanization is in Mizoram (51.5%), Tamil Nadu (48.5%), and Kerala.

- **The rural population** is 68.8% (highest in Himachal Pradesh 89.96%, Bihar, Assam).

State-wise Key Facts:

- **Highest Population:** Uttar Pradesh (19.98 Crores)
- **Lowest Population:** Sikkim (6 Lakhs)
- **Highest Population Density (State):** Bihar (1102/km²)
- **Highest Population Density (Union Territory):** Delhi (11320/km²)
- **Lowest Population Density:** Arunachal Pradesh (17/km²)

9

Statement 1: The Production Possibility Frontier (PPF) shows the trade-offs and opportunity costs faced by an economy

Statement 2: The PPF is used to estimate the government's total revenue and expenditure

a) Only Statement 1 is correct

b) Only Statement 2 is correct

c) Both Statement 1 and Statement 2 are correct

d) Neither Statement 1 nor Statement 2 is correct

EXPLANATION

Product Possibility Curve

It is a graph that shows the different combinations of goods or services that an economy can produce when all resources are used efficiently.

Example

उदाहरण



Spending the entire amount on one product

पूरी राशि एक ही उत्पाद पर खर्च करना।

if a person has 6000, and they have two buying options:

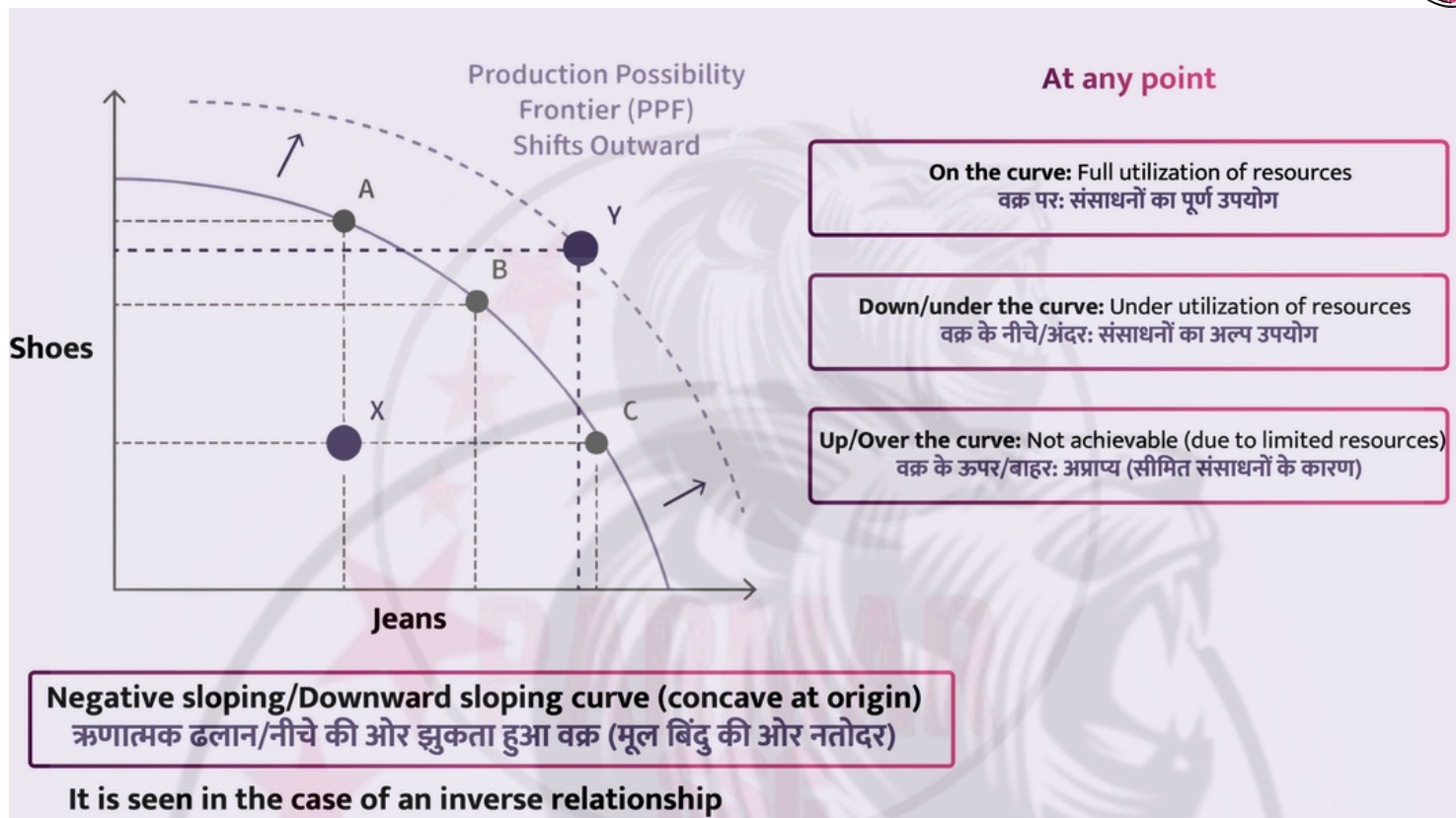
1. 6 pairs of shoes for 6000 and
2. 6 pairs of jeans for 6000.

buying 6 pairs of shoes with no money left for jeans
जींस के लिए बिना कोई पैसा छोड़े 6 जोड़ी जूते खरीदना।

buying 6 pairs of jeans with no money left for shoes.
जूतों के लिए बिना कोई पैसा छोड़े 6 जोड़ी जींस खरीदना।



4



10 Which of the following correctly describes cooperative sector industries?

- a) Owned and operated by central government agencies
- b) Operated solely for export purposes
- c) Owned by workers or suppliers sharing profits and losses ✓
- d) Maintained by foreign companies with Indian partnerships

EXPLANATION

97th Constitutional Amendment Act, 2011

Aspect	Changes by Amendment
Fundamental Right	Right to form cooperative societies in Article 19(1)(c)
Directive Principles of State Policy	Article 43B - Voluntary formation, autonomous functioning, democratic control
New Part	Part IX-B (243ZH-243ZT) - Framework of cooperative societies
Judicial Status	Provisions applicable to states unconstitutional, but Fundamental Right and DPSP intact

Feature	Public Sector	Private Sector	Joint Sector	Cooperative Sector
Ownership	Government owned	Owned by individuals/private companies	Owned jointly by government & private players	Owned by members (people with common interest)

Feature	Public Sector	Private Sector	Joint Sector	Cooperative Sector
Control	Government controls decisions	Private owners control decisions	Shared control between govt & private	Democratic control (one member, one vote)
Objective	Public welfare & service	Profit maximization	Both profit + public welfare	Mutual benefit of members
Capital Source	Government funds	Private investment	Both govt & private investment	Members contribution
Examples	BHEL, ONGC, SBI	Reliance, Tata, Infosys	Maruti Suzuki (earlier model)	Amul, IFFCO
Decision Making	Slow (bureaucratic)	Fast & flexible	Moderate	Democratic but slower
Risk Bearing	Government bears risk	Private owners bear risk	Shared risk	Shared among members
Profit Distribution	Goes to government/public	Goes to owners/shareholders	Shared between partners	Shared among members
Focus Area	Infrastructure, defense, railways	Consumer goods, services	Large industries needing collaboration	Agriculture, dairy, credit

11 The rolling plan concept was introduced during which Prime Minister's tenure?

a) Jawaharlal Nehru

b) Indira Gandhi

c) Morarji Desai ✓

d) Rajiv Gandhi

EXPLANATION

Plan	Period	Model	Main Goals	Achievement/Features
First Plan	1951-1956	Harrod-Domar Model	Agriculture, Irrigation, Food Production, Reconstruction	Target: 2.1% growth, Achievement: 3.6% growth; Bhakra-Nangal, Hirakud Dams
Second Plan	1956-1961	PC Mahalanobis Model	Heavy Industries, Public Sector, Industrial Policy 1956	Target: 4.5% growth, Achievement: 3.4%; Establishment of Steel Plants, IITs

Third Plan	1961-1966	Gadgil Plan	Agriculture + Industry balance, Self-reliance	Target: 5.6% growth, Achievement: 2.8%; 1962 China War, 1965 Pakistan War, Famine
Fourth Plan	1969-1974	Rudra Alen Model	Stability, Self-reliance, Poverty eradication	Target: 5.7% growth, Achievement: 3.3%; Start of Green Revolution

Fifth Five-Year Plan (1974-1978)

- **Model:** D.P. Dhar Model
- **Prime Minister:** Indira Gandhi
- **Growth Rate:** Target 4.4% | Achievement 4.8% (Successful)
- **Main Objective:** Employment and Poverty Eradication ("Garibi Hatao" slogan)
- **Major achievements / initiatives:**
 - Emphasis on achieving self-reliance.
 - Establishment of Regional Rural Banks (RRBs) (1975).
 - Launch of the 20-Point Programme to reduce poverty (1975).

• **The concept of plans** was taken from the USSR (Stalin, 1928). The Planning Commission was formed in 1950.

• **Rolling Plan (1978-80):** Started by the Janata Party (Morarji Desai).

- **Minimum Needs Programme (1974):** Launched with the objective of providing basic necessities to the poor and unreserved.
 - Hill Area Development Programme: Launched.

Rolling Plan अनवरत योजना

- It was introduced by Janata Party/Morarji Desai government.
- Duration: 1978-1980.
- Key Focus: Increase in the country's GDP, employment, and agricultural production.

Hindu Rate of Growth (1978) हिंदू विकास दर (1978)

- signifying low economic growth.
- Concept given by: Prof. Raj Krishna.
- From 1960-1980, India has experienced a slow economic growth rate.

• The concept of five-year plans was borrowed from the USSR (The Union of Soviet Socialist Republics) → **Joseph Stalin** introduced it in 1928 to industrialize the Soviet Union.

First Rural Bank

- First RRB: **Prathama Bank**
- Year of Establishment: **2 October 1975**
- Location: **Moradabad, Uttar Pradesh**

The goals of Five-Year plans

1. **Growth:** Growth in terms of GDP.
2. **Modernisation:** Integration of new technology in the economy.
3. **Self-reliance:** Inward-looking trade strategy (domestic production instead of importing goods).
4. **Equity:** Development of all.

- Pranab Mukherjee served as the Vice Chairman of Planning Commission.
- The Five-Year Plans not only specify the objectives to be attained in the 5 years of a plan but also what is to be achieved over a period of 20 years.
- This long-term plan is called "**perspective plan**".



Element	Description
NITI Aayog	National Institution for Transforming India
Establishment	2015, in place of the Planning Commission
Chairman	Prime Minister
Current Vice-Chairman	Ashok Kumar Lahiri
CEO	Nidhi Chhibber
National Development Council (NDC)	Body that approved Five-Year Plans (now ineffective)
20-Year Perspective Plan	Long-term development vision, the basis of Five-Year Plans

12 Under which Five Year Plan was the Green Revolution introduced in India?

a) First Plan

b) Second Plan

c) Third Plan ✓

d) Fourth Plan

EXPLANATION

Third Five-Year Plan (1961-1966)

- **Based on:** Gadgil Formula
- **Growth Rate:** Target **5.6%** | Achievement **2.8%** (Failure)
- **Main Focus:** Self-reliant and self-generating economy
- **PL 480 Scheme:** To reduce hunger and poverty, India imported wheat from the USA under this scheme.
- **Reasons for Failure:** Sino-Indian War (1962), Indo-Pakistani War (1965), and severe drought; which shifted the primary focus toward defense expenditure.

White Revolution

- **Started** under Operation Flood (1970).
- **Objective:** To make India self-reliant in milk production.
- **Result:** India became the largest milk producer in the world.
- **Father:** Dr. Verghese Kurien

Establishment of Various Institutes:

विभिन्न संस्थानों की स्थापना:

1. Food Corporation of India (FCI): 14th January 1965.
2. Commission for Agricultural Costs & Prices (CACP): 1st January 1965.
3. Industrial Development Bank of India (IDBI): 1st July 1964.
4. Unit Trust of India (UTI): 1963 (by an Act of Parliament) → Established in 1st February 1964.

Green Revolution

- **Father:** Norman Borlaug — Developed high-productivity wheat varieties in Mexico and Latin America.
- **Start in India:** 1960s (First phase), especially in Punjab, Haryana, Andhra Pradesh, and Western Uttar Pradesh (use of high-productivity seeds); Second phase - 1970s.

- **Limited Scope:** Initially focused only on wheat and rice (IR80).
- **Disadvantages:**
 - Excessive exploitation of groundwater.
 - Soil salinity and alkalinity.
 - Regional inequality (some states benefited more, while others remained backward).

Plan Holiday

योजना अवकाश

- A break in Five-Year: 1966-1969 due to economic strain caused by the war and other factors like severe drought.
 - India focused on "New Agriculture Strategy" or "Green Revolution".
 - Widespread distribution and adoption of HYV seeds.
1. 1st phase (Mid 1960s-1970s).
 2. 2nd phase (Mid 1970s).



13 What led to regional disparity despite the overall success of the Green Revolution?

- a) Uneven price controls
- b) Unequal land ownership
- c) HYV seed access restricted to well-irrigated regions ✓
- d) Neglect of fertilizers

14 Which of the following best defines the concept of 'opportunity cost'?

- a) The cost of production
- b) The next best alternative foregone ✓
- c) The cost of labor
- d) The total money spent

EXPLANATION

- **Opportunity Cost:** The value of the next best alternative given up when choosing one option (e.g., if you buy jeans for 6000 rupees, the inability to buy shoes is the opportunity cost).



- **Free Goods:**

- Those goods which are so abundant that there is no opportunity cost in using them.
- Example: Sunlight, Air

15 Which of the following is usually excluded when measuring a country's Gross Domestic Product (GDP)?

- a) Consumer spending on final goods and services
- b) Government expenditure on public services
- c) The value of intermediate goods used in production ✓
- d) Net exports (Exports - Imports)



EXPLANATION

Gross Domestic Product (GDP)

सकल घरेलू उत्पाद (GDP)

- It measures the total value of all final goods and services produced within the geographical boundaries of a country within a financial year **(1 April - 31 March)**.
- In GDP, second-hand goods are never counted.
- While calculating GDP, to avoid double counting, only the value of final goods is considered, not intermediate goods.
- The development of GDP was done in **1934** by Russian-American economist Simon Kuznets.

Gross National Product (GNP)

सकल राष्ट्रीय उत्पाद (GNP)

- Total value of all final goods and services produced by the citizens of the country.
- Work done by women at home is outside the calculation (percentage) of GDP.

- GNP:** Gross National Product
- GDP:** Gross Domestic Product
- NFIA:** Net Factor Income from Abroad

$$GNP = GDP + NFIA$$

Feature	Real GDP	Nominal GDP
Reference	A base year is taken as a reference.	Due to inflation, it is usually higher than Real GDP.
Price Base	It is calculated at constant prices.	It is calculated at current prices.
Inflation Adjustment	It is inflation-adjusted.	Inflation is not adjusted here.

16

Assertion (A): Globalization led to increased inequality in India

Reason (R): Growth was unevenly distributed, benefiting mostly urban elite and service sectors

- a) Both A and R are true and R is the correct explanation of A ✓
- b) Both A and R are true but R is not the correct explanation of A
- c) A is true but R is false
- d) A is false but R is true.

EXPLANATION

- L - Liberalization:** Abolition of industrial license permit raj, reduction in import duties, etc.
- P - Privatization:** Transfer of ownership or management of government-owned enterprises to private entities. Its objective is to improve efficiency, reduce the financial burden on the government, and increase competition in various sectors.
- G - Globalization:** The process of increasing economic, social, and cultural integration between countries through trade, investment, technology, and communication. This leads to the free flow of goods, services, capital, and labor across borders.

10

17

Which of the following statements about light industries is correct?

- a) They process heavy ores and minerals
- b) They produce large-scale industrial machinery
- c) They require bulky and heavy raw materials
- d) Use light materials to make consumer goods ✓

EXPLANATION

Type	Heavy Industry	Light Industry
Meaning	Industries that use large machines and high capital and produce in	Industries that use small machines and low capital and create
Capital	High capital investment	Low capital investment
Machinery	Heavy and complex machinery	Light and simple machinery
Labor	Skilled and more workers	Fewer workers required
Production	Large-scale production	Small-scale production
Raw Material	Heavy raw materials like iron, coal	Light raw materials like cotton, plastic
Example	Iron and steel industry, shipbuilding, cement industry	Textile industry, food processing, electronics

18

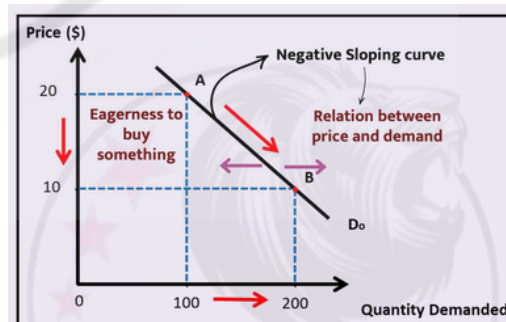
Which of the following statements accurately describes the law of demand in microeconomics?

- a) As price increases, demand increases
- b) As price decreases, demand decreases
- c) As price increases, demand decreases, ceteris paribus ✓
- d) Price has no effect on demand

EXPLANATION

Demand:

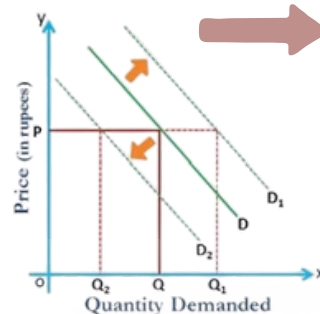
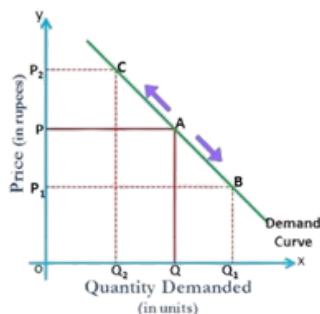
- The quantity of a good or service that consumers are willing and able to purchase at a specific price during a specific period of time (Desire + Ability).
- **Relationship between Price and Demand (Law of Demand):**
 - There is an inverse relationship between price and demand (when price increases, demand decreases, and when price decreases, demand increases).
- **Conditions (This law applies only when):**
 - The consumer's income is constant.
 - The price of other goods is constant.
 - There is no change in consumer preferences (tastes).



Demand curve मांग वक्र

Other factors remain constant, (Ceteris Paribus) e.g., income.
अन्य सभी कारक स्थिर रहते हैं (सेटेरिस पैरिबस), जैसे—आय।

11



Movement and Shift in the Demand Curve:

- **Movement:** This occurs when there is a change in the price of the product.
- **Shift:** This occurs when there is a change in factors other than price, such as income, consumer preferences, or the price of related goods.

MOVEMENT & SHIFT IN DEMAND CURVE

The **supply curve** shows that when the price increases, the supply increases, and when the price decreases, the supply decreases.

• Demand Curve:

- This principle states that there is an inverse relationship between price and the quantity demanded.
- When the price increases, the quantity demanded decreases.
- When the price decreases, the quantity demanded increases.



Exception to the law of demand (Giffen & Veblen goods)

Feature	Giffen Goods	Veblen Goods
Type of Good	Inferior / Non-luxury	High-end / Luxury
Price Effect	Demand increases when price increases.	Demand increases when price increases.
Main Reason	Lack of better alternatives and necessity.	Show-off and 'Status Symbol'.
Example	Wheat, rice, coarse grains (basic food).	iPhone, Mercedes, diamond jewelry.

19 The term 'Navratnas' in public sector reform refers to:

- Public enterprises given full privatization
- Public enterprises granted autonomy for better performance ✓
- Subsidy-driven rural firms
- Firms eligible for WTO support

EXPLANATION

• 'Navratna' in the Public Sector

- These receive autonomy for better performance.
- There are 14 Maharatna (₹5000+ crore profit) and 26 Navratna.

- "These companies come under the '**Department of Public Enterprises**' and the '**Ministry of Finance**'."



CATEGORY	ELIGIBILITY CRITERIA	INVESTMENT AUTONOMY	EXAMPLES
MAHA RATNA	- Must be Navratna listed company - Avg. Annual turnover: ₹25,000+cr (3 yrs) - Net worth: ₹15,000+ cr (3 yrs) - Net profit: ₹5,000+cr (3 yrs)	Up to ₹5,000 cr or 15% of net worth	ONGC  NTPC  IOCL  BHEL  Total - 14
NAVRATNA	- Must be Miniratna - Score ≥ 60 in key performance indicators (PBDIT, ROI, EPS, etc.)	Up to ₹1,000 cr or 15% of net worth	HAL  BEL  NALCO  NMDC  Total - 26
MINIRATNA CATEGORY I	- Positive net profit for last 3 years - Net worth: ₹500+ cr	Up to ₹500 cr or 15% of net worth	AAI  BSNL  RailTel  Total - 49
MINIRATNA CATEGORY II	Positive net profit for last 3 years (no net worth requirement)	Up to ₹300 cr or 15% of net worth	IRCTC  MECON  BECIL  Total - 10

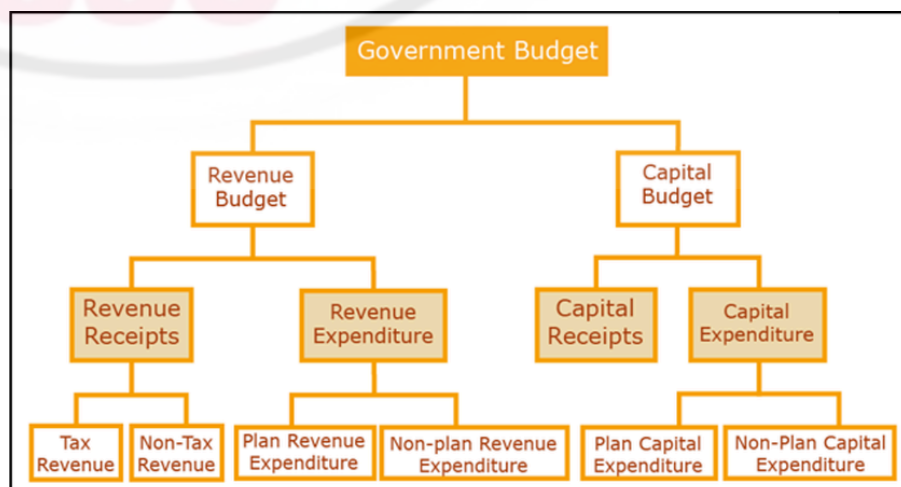
20 Which of the following best defines Capital Receipts?

- Receipts that increase government revenue permanently
- Receipts that reduce financial liabilities of the government
- Receipts that create liability or reduce government assets ✓
- Receipts that do not impact government assets or liabilities

EXPLANATION

Capital Receipts:

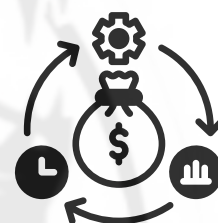
- Definition:** These are receipts that either create a liability for the government or reduce the value of government assets.
- Effect:** These create new liabilities and reduce existing assets.
- Examples:**
 - Borrowings (Loans)
 - Disinvestment



Type of Disinvestment	Description	Control
Minority Disinvestment	Selling a small portion of the stake	With the Government
Strategic Disinvestment	Selling a large portion (51%)	Control goes to the Private Sector
Complete Privatization	Selling 100% stake	Entirely with the Private Sector

Capital Expenditure:

- **Definition:** It includes those activities in which the government acquires, constructs, or upgrades long-term assets (such as property, infrastructure, or equipment).
- **Effect:** It creates new assets for the government and reduces liabilities.
- **Examples:**
 - Debt Repayment
 - Granting of Loans
 - Developmental Expenditure
 - Infrastructure Construction (e.g., roads, schools, hospitals)



21

How is revenue deficit calculated?

- Revenue expenditure - Revenue receipts ✓
- Revenue receipts - Capital receipts
- Total expenditure - Total receipts
- Capital expenditure - Revenue expenditure

EXPLANATION

Type of Deficit	Formula	Meaning
Revenue Deficit	Revenue Expenditure - Revenue Receipts	How much the government's daily expenses exceed its regular earnings (taxes, etc.).
Fiscal Deficit	Total Expenditure - (Revenue Receipts + Non-debt Capital Receipts)	The total amount of borrowing the government needs to take from the market.
Primary Deficit	Fiscal Deficit - Interest Payments	The actual deficit for new expenses after removing the interest on old loans from the current borrowing.
Budgetary Deficit	Total Expenditure - Total Receipts (including borrowing)	How much the government's total expenditure exceeds its total earnings (no longer widely used in India).
Effective Revenue Deficit	Revenue Deficit - Grants for the Creation of Capital Assets	This is the government's actual revenue deficit. It excludes expenses given to states that resulted in the creation of

22

Statement 1: Income tax and dividends from PSUs are classified as revenue receipts in the government budget

Statement 2: Disinvestment in PSUs is also a revenue receipt as it brings income to the government

- a) Only Statement 1 is correct ✓
- b) Only Statement 2 is correct
- c) Both Statement 1 and Statement 2 are correct
- d) Neither Statement 1 nor Statement 2 is correct

23

Which of the following statement regarding income is correct?

I. Out of private income, what finally reaches the households is known as personal income

II. The total national income of the country is composed of two parts private income and public income

- (a) Only I
- (b) Only II
- (c) Both I and II ✓
- (d) Neither I nor II

EXPLANATION

$$PI = \text{National Income (NI)} + \text{Income received but not earned} - \text{Income earned but not received}$$

OR

$$PI = NI + \text{Government transfers} + \text{Net interest paid by government} - \text{Corporate tax} - \text{Payment for social security}$$

$$PI = NI + \text{Transfer Payment} - \text{Undistributed corporate profit.}$$

*Transfer payment example: Government subsidies/Scholarship/Person



- **Disposable Income** = Personal Income — Direct Tax (e.g., Income Tax)

24

Which religious community had the second-largest population in India as per Census 2011?

- (a) Christian
- (b) Sikh
- (c) Muslim ✓
- (d) Buddhist

EXPLANATION

- The **2011 Census of India** was the 15th national census, providing comprehensive demographic, social, and economic data for planning and policymaking.
- **Special Features:**
 - First Census with Biometric Data
 - **Caste Data:** For the first time since 1931, caste information was collected through the Socio-Economic and Caste Census (SECC) 2011.
 - **Motto:** "Our Census, Our Future"

15

CENSUS 2011: RELIGIOUS PROFILE

India's population data based on religion, which was part of Census 2011, was released by the government on Tuesday

	Population in 2011 (cr)	Proportion of population in %	Decadal change in proportion in % pts
Hindu	96.63	79.8	-0.7
Muslim	17.22	14.2	+0.8
Christian	2.78	2.3	No change
Sikh	2.08	1.7	-0.2
Buddhist	0.84	0.7	-0.1
Jain	0.45	0.4	No change
Others	0.79	0.7	-
Religion not stated	0.29	0.2	-

DECADE-WISE POPULATION GROWTH RATE IN PERCENTAGE

	1991	2001	2011
Hindu	25.1	20.3	16.8
Muslim	34.5	29.5	24.6
Buddhist	35.3	24.5	6.1
Christian	21.5	22.6	15.5
Sikh	24.3	18.2	8.4
Jain	4.6	26	5.4

25

Which of the following has amalgamated a large number of central and state taxes and cesses?

(a) Goods and Services Tax ✓

(c) Minimum Alternate tax

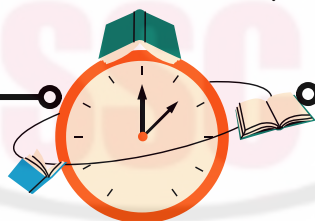
(b) Customs duty

(d) Corporate tax

EXPLANATION

Goods and Services Tax (GST)

- **Constitutional Provision:** GST was introduced through the **101st Constitutional Amendment Act**.
- **Effective Date:** It was implemented across India from 1 July 2017.
- **First State:** Assam was the first state in India to pass the GST bill.
- **GST Council:**
 - According to **Article 279A**, the GST Council is a constitutional body.
 - There is a total of **33 members** in this council (2 from the Centre + 31 from States/Union Territories).
 - The Union Finance Minister serves as the Chairperson of the GST Council.



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